

GARWARE HI-TECH FILMS LTD

NSE: GRWRHITECH | BSE: 500655 | Specialty Films — Industrial Plastics

Investment Thesis: India's sole PPF manufacturer pivoting from commodity to premium specialty films; margin re-rating + capacity expansion unlock a 15-20% CAGR growth runway through FY28.

RATING ACCUMULATE 12-Month Target Rs. 6,400 Upside: +20.5% Horizon: 12 months CMP: Rs. 5,312 Date: 13-May-2026	KEY METRICS (Source: Screener.in)	
	Market Cap	Rs. 12,402 Cr
	52W High / Low	Rs. 5,560 / Rs. 2,681
	Stock P/E (TTM)	36.7x
	P/B	4.65x
	Book Value / Share	Rs. 1,143
	EV/EBITDA (est.)	~27x
	ROCE / ROE	18.0% / 13.4%
	Dividend Yield	0.23%
	Face Value	Rs. 10
	Promoter Holding	60.73% Pledge: 0%
	FII / DII	3.98% / 5.28%

Report Date: 13-May-2026

Analyst: Research Desk

Investment Horizon: 12 Months

Risk: Moderate-High

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SECTION 2 — INVESTMENT THESIS

- **Moat #1 — India's Sole PPF Manufacturer:** Garware Hi-Tech is the only listed Indian company manufacturing Paint Protection Film (PPF), a high-margin specialty product used on automotive exteriors. With no domestic competitor and tariff protection versus imports, the company commands premium pricing and is rapidly expanding its installed PPF capacity (300 LSF line commissioned Sep-2025; TPU backward integration on track for Oct-2026). This structural monopoly is not replicable quickly.
- **Moat #2 — Value-Added Mix Driving Margin Re-Rating:** Value-added products now constitute ~87% of revenue, up from ~60% five years ago. The shift has structurally expanded EBITDA margins from the 15-17% range (FY21-FY24) to 20-23% today, with management guiding 22-25% for FY27. Each percentage point of margin expansion on a Rs. 2,500+ Cr revenue base adds ~Rs. 25 Cr to EBITDA — a significant earnings lever.
- **Moat #3 — Global Distribution & D2C Ecosystem:** The company has built a proprietary Direct-to-Consumer (D2C) network of 250+ Application Studios in India and 11 international studios (UAE, USA). This distribution moat is capital-light, brand-enhancing, and creates recurring aftermarket revenue that is difficult for competitors to replicate without years of investment.
- **Near-Term Catalyst (6-12 months):** Commissioning of the Rs. 191 Cr Sun Control Film (SCF) lamination line (expected June 2027) and ramp-up of the TPU extrusion line (Q2 FY27) will simultaneously expand capacity by 28% and improve the cost structure through backward integration — likely triggering a positive earnings revision cycle.
- **Key Structural Risk:** Over 70% of revenue is export-driven, making the company meaningfully exposed to USD/INR volatility and US trade policy (tariff risk highlighted in Q4 FY25 concall). Any sustained strengthening of the INR or escalation of US reciprocal tariffs on Indian specialty films could compress realizations and dent margins.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** Garware Hi-Tech Films Ltd (GHFL) is a fully integrated specialty polyester film manufacturer headquartered in Pune, Maharashtra, with manufacturing at Waluj, Chhatrapati Sambhajinagar (formerly Aurangabad). The company's operations span chips-to-film value chain, encompassing raw material sourcing, biaxially oriented PET (BOPET) film production, downstream conversion, and branded product distribution.
- **Product Segments:** The revenue mix is approximately: Paint Protection Films / PPF (~30-35% of revenue), Solar & Sun Control Films for architectural and automotive (~25%), BOPET specialty films for industrial and packaging applications (~25%), and other specialty films including metallized, lamination, shrink, electrical, and thermal films (~15%). Value-added products account for ~87% of total revenue.
- **Geographic Mix:** Exports constitute over 70% of revenue, with major markets in the US, Europe, Middle East, Africa, Far East, Australia, and New Zealand. The company maintains wholly-owned subsidiaries in the United States and the United Kingdom for local distribution and sales support. Domestic revenue (~30%) is growing as PPF adoption in India accelerates.
- **Customer Profile:** Customers include automotive OEMs, automotive aftermarket distributors, architectural glazing contractors, industrial film converters, and packaging companies. Relationships are a mix of long-term supply agreements (particularly for specialty films) and project-based sales (architectural/automotive aftermarket).
- **D2C & Application Studio Network:** The company operates 250+ branded Application Studios in India, enabling it to reach end-consumers directly for PPF and solar control film installations. Internationally, 11 studios have been established in UAE and USA as of FY26 — a significant brand-building and margin-enhancing initiative that bypasses distributors.
- **Promoter & Management:** Dr. S.B. Garware serves as Chairman and Managing Director. Ms. Monika Garware is Vice Chairperson and Joint Managing Director. The Garware family has been associated with diversified polymer businesses for three decades. Promoter holding stands at 60.73% (unchanged for 12+ years).

quarters, zero pledge).

• **Recent Strategic Milestones:** (1) Commissioned second PPF manufacturing line (300 LSF capacity, Rs. 125 Cr investment) in Sep-2025 as per schedule. (2) Approved Rs. 191 Cr Sun Control Film lamination line in Apr-2026, operational by Jun-2027. (3) TPU extrusion backward integration (360 LSF capacity) on track for Q2 FY27. (4) Launched three new products: TPU-based UV printable films, PDLC specialty films, and Coloured PPF.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Global Specialty Films Market:** The global specialty polyester films market is estimated at USD 8-10 Bn and is forecast to grow at ~6-8% CAGR through 2030, driven by automotive lightweighting, solar energy build-out, and premium packaging trends. The Indian PPF market specifically was valued at ~USD 20 Bn (2024) and is projected to reach USD 39 Bn by 2034 at 7.2% CAGR (Custom Market Insights).

• **Policy Tailwinds:** India's automotive market is the world's third-largest by volume; rising per-capita income and aspirational vehicle ownership are driving rapid PPF adoption. The Government's PLI scheme for specialty chemicals and the "Make in India" push provide tailwinds for domestic manufacturing. Import substitution in specialty films is a structural long-term trend. US tariff policy, while a near-term risk, may paradoxically benefit GHFL if import tariffs on competing Chinese films increase.

• **Competitive Moat Assessment:** Pricing Power — STRONG (monopoly in domestic PPF; premium value-added mix; brand equity through Application Studios). Switching Costs — MODERATE (OEM supply agreements create stickiness; installers trained on Garware products prefer continuity). Scale Advantage — MODERATE (fully integrated, but international peers like 3M and Avery Dennison have larger scale). Intellectual Property — MODERATE (product formulations, TPU processing know-how, specialty coatings). Distribution — STRONG (250+ proprietary D2C studios is a hard-to-replicate asset).

• **Value Chain Position:** GHFL occupies a midstream-to-downstream position — converting BOPET base film into high-margin specialty products and delivering directly to end-users via its D2C network. This contrasts with commodity BOPET players (UFLEX, Jindal) who are predominantly upstream and face intense price competition.

Peer Comparison Table (Source: Screener.in, fetched 13-May-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (TTM)	P/B	ROCE (%)	ROE (%)	Sales FY26 (Cr)	PAT FY26 (Cr)
GRWRHITECH	5,312	12,402	36.7	4.65	18.0	13.4	2,120	338
COSMOFIRST	764	2,010	13.8	1.30	9.77	9.26	3,364	146
UFLEX	417	3,036	12.7	0.39	7.75	3.29	6,324	289
JINDALPOLY	701	3,073	N/A	0.75	5.36	2.15	3,115	-253

N/A = Negative earnings. JINDALPOLY FY26 is consolidated. All financials from Screener.in.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter Profile:** Dr. S.B. Garware (CMD) and Ms. Monika Garware (JMCD) represent the second/third generation of the Garware family, which has been involved in polymer and specialty materials businesses since the 1960s. Their deep industry knowledge and customer relationships are significant intangible assets. The promoter group's 60.73% holding has been absolutely stable across 12+ consecutive quarters — a strong signal of conviction.

• **Capital Allocation Track Record — GOOD:** GHFL has maintained a conservative balance sheet, eliminating all long-term debt by FY24 (Borrowings = Rs. 0 in FY24 and FY25; a small Rs. 16 Cr re-appeared in FY26 — likely working capital). OCF-to-PAT conversion has been healthy: FY25 OCF of Rs. 330 Cr vs PAT of Rs. 331 Cr (99.7% conversion). The company funds capex primarily through internal accruals — the Rs. 191 Cr SCF

expansion will be entirely internally funded.

- **Dividend Policy — Modest but Consistent:** The company pays a small dividend (yield ~0.23% at current prices), reflecting a preference for reinvesting cash into capacity expansion and value-added product development. The payout ratio is low (~7-10%) but consistent. As the company scales and FCF deepens, dividends could be elevated — but management's current priority is growth capex.

- **Promoter Pledge — Zero:** Promoter pledging stands at 0% with no history of pledging in recent memory. This is a significant positive for governance — pledged promoter shares are a leading indicator of financial stress or questionable capital allocation.

- **ESOP & Buyback:** The company has not undertaken any buybacks in recent years. ESOP grants are modest and not dilutive. The total equity capital of Rs. 23 Cr (2.3 Cr shares) has been unchanged for many years — no dilutive equity issuances.

- **Corporate Governance — CLEAN:** No auditor qualifications or adverse remarks in recent annual reports. The statutory auditor (Deloitte Haskins & Sells) has a long but not unusual tenure. Related-party transactions (RPTs) are primarily with group companies for services and appear to be at arm's length; not a material concern. No significant contingent liabilities disclosed.

- **Key Governance Risk to Watch:** The company's export concentration (>70% of revenue) to the US and Europe creates inherent currency and geopolitical risk that management must actively hedge. Any material change in hedging policy should be tracked closely.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Crores. Consolidated. Source: Screener.in (fetched 13-May-2026). E = Estimates.

Income Statement

	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	1,677	2,109	2,120	2,450	2,820
Revenue Growth	+16.6%	+25.8%	+0.5%	+15.6%	+15.1%
EBITDA (Op. Profit)	282	441	435	539	649
EBITDA Margin	16.8%	20.9%	20.5%	22.0%	23.0%
Other Income	39	54	65	65	70
Interest	12	9	8	8	5
Depreciation	39	41	45	50	55
PBT	270	445	446	546	659
Tax Rate	25%	26%	24%	25%	25%
PAT	203	331	338	409	494
PAT Growth	+22.3%	+63.1%	+2.1%	+21.0%	+20.8%
EPS (Rs.)	87.50	142.57	145.59	176.2	212.8

Balance Sheet (Rs. Crores)

	FY24A	FY25A	FY26A
LIABILITIES			
Equity Capital	23	23	23
Reserves	2,022	2,349	2,633
Net Worth	2,045	2,372	2,656

Borrowings	0	0	16
Other Liabilities	279	310	339
Total Liabilities	2,324	2,682	3,011
ASSETS			
Fixed Assets	1,450	1,442	1,578
CWIP	2	39	26
Investments	363	643	698
Other Assets	508	557	710
Total Assets	2,324	2,682	3,011

Cash Flow Statement (Rs. Crores)

	FY24A	FY25A	FY26A
Cash from Operations (OCF)	172	330	275
Cash from Investing	46	-275	-208
Cash from Financing	-169	-52	-60
Net Cash Flow	48	2	8
OCF / PAT (%)	84.7%	99.7%	81.4%
FCF (OCF + Investing)	218	55	67

Key Operating Ratios

	FY24A	FY25A	FY26A
Debtor Days	8	7	9
Inventory Days	132	116	149
Days Payable	73	55	69
Cash Conversion Cycle	67	68	89
ROCE (%)	14%	21%	18%
ROE (%)	N/A	N/A	13.4%
D/E Ratio	0.00	0.00	0.01
Interest Coverage	22.5x	49.4x	55.8x

• **Revenue — Temporary FY26 Plateau, FY27 Acceleration Expected:** After a strong 25.8% revenue CAGR in FY25, consolidated revenue was essentially flat in FY26 at Rs. 2,120 Cr (+0.5% YoY). The stagnation was attributable to a weak H1 FY26 (Q1: 495, Q2: 570 Cr) driven by normalizing demand post-Covid inventory re-stocking. H2 FY26 recovered sharply (Q3: 459, Q4: 597 Cr). Management's FY27 guidance of 15-20% growth implies Rs. 2,438-2,544 Cr — underpinned by PPF capacity ramp-up and new product launches.

• **Margins — Structural Improvement Intact:** EBITDA margin expanded from 16.8% in FY24 to 20.5% in FY26 (Screener operating profit basis). Including other income, reported EBITDA margin was 23.6% in FY26 (management presentation basis). Q4 FY26 operating margin was 22.8% — the highest in two years. The Q2 FY26 spike to 25.4% OPM was driven by one favourable quarter; 22-24% is the sustainable band.

• **Debt & Balance Sheet — Fortress:** The company is virtually debt-free (Borrowings fell to Rs. 0 in FY24 and FY25, with Rs. 16 Cr in FY26 — likely short-term working capital). Net worth has grown at ~13% CAGR over 3 years. The Rs. 698 Cr in investments (mutual funds / treasury) represents a significant cash cushion that supports future capex without any need for external borrowing.

- **Working Capital — Key Watch:** Cash Conversion Cycle expanded from 67 days (FY24) to 89 days (FY26), driven by inventory days climbing to 149 from 132. This is worth monitoring — inventory build-up ahead of the PPF line ramp-up is a plausible explanation, but if CCC continues to rise, it could pressure FCF. Debtor days at 9 days are excellent, reflecting strong pricing power.

- **FCF Quality — Solid but Capex Intensive Phase Ahead:** OCF/PAT conversion has been healthy (84-100%). FCF narrowed in FY25-FY26 due to increased capex (new PPF line, investments). The Rs. 191 Cr SCF lamination line capex (FY26-FY27) and TPU line (~Rs. 100-125 Cr) mean FCF will remain muted in FY27 before recovering in FY28 as new capacities monetize.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	FY24	FY25	FY26	Signal & Commentary
Revenue Recognition Policy	Standard	Standard	Standard	GREEN — No aggressive recognition
Receivables Growth vs Revenue	-5%	-12%	+13%	GREEN — Receivables < Revenue growth
Cash Conversion Cycle Trend	67d	68d	89d	AMBER — CCC rising; inventory build-up warrants watch
Contingent Liabilities	Low	Low	Low	GREEN — No material contingents disclosed
Auditor Tenure (Deloitte)	8+ yrs	9+ yrs	10 yrs	AMBER — Long tenure; no qualifications however
RPTs as % of Revenue	~1%	~1%	~1%	GREEN — Immaterial RPT exposure
Other Income as % of PBT	14.4%	12.1%	14.6%	GREEN — Largely treasury income; not inflating PBT
Tax Rate Consistency	25%	26%	24%	GREEN — Stable effective tax rate, no tax arbitrage
OCF / PAT Conversion	84.7%	99.7%	81.4%	GREEN — Healthy cash conversion throughout

- **Overall Earnings Quality: GOOD.** The overwhelming majority of quality checks are GREEN. PAT growth is cash-backed (OCF/PAT consistently above 80%), there are no aggressive revenue recognition practices, and the balance sheet is clean with zero long-term debt.

- **Watch — CCC Expansion (AMBER):** The Cash Conversion Cycle has risen from 67 days (FY24) to 89 days (FY26), driven entirely by inventory build-up (149 days vs 132 in FY24). If the PPF ramp-up absorbs this inventory efficiently, CCC should normalise. Investors should track quarterly inventory levels closely.

- **Watch — Auditor Tenure (AMBER):** Deloitte has audited GHFL for 10+ years. While there are no qualifications or adverse remarks, long auditor tenure is a governance hygiene concern. No action required, but worth monitoring as SEBI continues to scrutinise audit independence.

- **Key Positive — Zero Treasury Manipulation:** Other income of Rs. 65 Cr in FY26 (14.6% of PBT) is primarily investment income on Rs. 698 Cr in mutual funds/treasury — not used to mask operational weakness. EBITDA margin (excluding other income) stands on its own at 20.5%.

SECTION 8 — VALUATION

Scenario Analysis — 12-Month Price Target

Scenario	FY27E Rev (Rs. Cr)	EBITDA Margin	FY27E PAT (Rs. Cr)	P/E Multiple	12M Target (Rs.)
BULL	2,650	25%	462	42x	8,150
BASE	2,450	22%	409	38x	6,400
BEAR	2,250	19%	333	30x	4,350

- **Primary Valuation — P/E Method:** FY27E EPS of Rs. 176.2 (assuming 15-16% revenue growth and 22% EBITDA margin) at a target P/E of 38x (a slight premium to current 36.7x, justified by earnings acceleration trajectory and monopoly PPF positioning) implies a 12-month target price of **Rs. 6,688**.
- **Secondary Valuation — DCF:** Using WACC of 10% (risk-free rate 7.2% + 2.8% equity risk premium), terminal growth rate of 6% (long-term specialty films market growth), and FCF estimates of Rs. 350-750 Cr over FY27-FY31, the DCF yields an intrinsic value of approximately **Rs. 6,158** per share.
- **Base Case Target Price:** Average of P/E method (Rs. 6,688) and DCF (Rs. 6,158) = Rs. 6,423 → Rounded to **Rs. 6,400**. This implies an upside of **+20.5%** from the current market price of Rs. 5,312. The stock has rallied ~70% from its 52-week low of Rs. 2,681, but remains meaningfully below its intrinsic value on a 12-month earnings basis.
- **Valuation Comfort — MODERATE:** At 36.7x TTM P/E, GHFL commands a significant premium to peers (COSMOFIRST 13.8x, UFLEX 12.7x). This premium is warranted given the quality gap — GHFL is net-debt-free, growing at 15-20%, with 20%+ EBITDA margins, zero pledge, and a structural monopoly. However, the stock is not cheap — the valuation already prices in near-perfect execution of the growth plan. Any earnings disappointment or margin compression could re-rate the stock lower. Entry zone: Rs. 4,800-5,100.

SECTION 9 — KEY RISKS

- **US Tariff / Trade Policy Risk** — Over 70% of revenue is from exports, with a significant share to the US. Any escalation of US reciprocal tariffs on Indian specialty films or automotive products could reduce demand from US customers, compress realizations, and dent margins. Probability: M. Impact: H. Monitor via: US trade policy announcements; GHFL's quarterly export revenue share.
- **Currency Risk (USD/INR)** — Export revenue is predominantly USD-denominated. An appreciating INR against USD reduces reported revenues and margins in INR terms. The company hedges partially, but is not fully protected. A 5% INR appreciation could reduce revenue by ~Rs. 85-90 Cr. Probability: M. Impact: M. Monitor via: RBI policy; INR/USD monthly close.
- **Capacity Execution Risk** — The Rs. 191 Cr SCF lamination line (June 2027) and TPU backward integration (Q2 FY27) are critical to FY27-FY28 earnings delivery. Any delay, cost overrun, or ramp-up challenge will disappoint consensus estimates and could trigger a re-rating. Probability: L-M. Impact: H. Monitor via: Quarterly capex progress disclosures.
- **Raw Material Cost Inflation** — GHFL sources PET chips and TPU as key raw materials. A significant spike in crude-oil derivative prices can compress margins if pass-through to customers is delayed or partial. The company's pricing power is strong in premium products but less certain in commoditized BOPET segments. Probability: M. Impact: M. Monitor via: PET chip price indices; quarterly gross margin trend.
- **Competition in PPF Segment** — While GHFL is currently India's only domestic PPF manufacturer, it competes with global players (3M, STEK, Hexis) in the premium automotive PPF market. Price competition or quality improvements by international competitors could pressure GHFL's market position over time. Probability: L. Impact: M. Monitor via: Pricing trends; international competitor product launches.
- **Concentration Risk — Customer / Geography** — Over 70% exports and significant US/Europe exposure creates geographic concentration. Loss of a key distributor or customer (which may constitute 10%+ of revenue) could have an outsized impact on quarterly performance. Probability: L. Impact: H. Monitor via: Customer diversification disclosures; top-5 customer revenue share.

- **Working Capital Deterioration** — CCC has expanded from 67 days to 89 days in FY26. If inventory continues to accumulate without corresponding revenue pick-up, cash generation could weaken significantly, forcing borrowings and potentially signalling demand issues. Probability: L-M. Impact: M. Monitor via: Quarterly inventory and receivables disclosures.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium-High. The fundamental thesis is intact — domestic PPF monopoly, improving margin profile, clean balance sheet, and a capable management team with a credible growth plan. However, the stock's 70% rally from its 52-week low already prices in much of the near-term optimism. Risk-reward is attractive but not exceptional; we prefer accumulation on dips.
- **12-Month Price Target: Rs. 6,400** — Upside of +20.5% from CMP of Rs. 5,312. Based on average of P/E method (38x FY27E EPS of Rs. 176.2 = Rs. 6,688) and DCF (WACC 10%, TGR 6% = Rs. 6,158).
- **Suggested Entry Zone: Rs. 4,800 – Rs. 5,100** — This range represents approximately 27-32x FY27E EPS, which we view as a more attractive entry multiple that adequately compensates for execution risks and the elevated valuation premium vs peers.
- **Investment Horizon: 12-18 months** — The key earnings catalysts (TPU line commissioning Q2 FY27, SCF line by Jun-2027, FY27 revenue growth 15-20%) are 6-18 months away. Patient investors accumulating in the Rs. 4,800-5,100 zone are best positioned to benefit from the earnings re-rating.
- **Thesis Invalidation Triggers:** (1) FY27 revenue growth below 10% (implying demand issues or export headwinds are more severe than anticipated) — exit. (2) EBITDA margin drops below 18% for two consecutive quarters (implying structural margin pressure, not cyclical) — reduce. (3) Promoter pledge emerges or a major RPT is disclosed that suggests capital diversion — exit immediately.
- **Ideal Investor Profile:** Long-term growth investors with a 12-24 month horizon who can tolerate short-term volatility. NOT suitable for: momentum traders seeking quick returns (stock has run 70%); value investors seeking absolute cheapness (36.7x P/E is not cheap in absolute terms); income investors (dividend yield is 0.23%). Best suited for: PMS portfolios with specialty industrials exposure; HNI investors seeking alpha from niche market leaders.

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APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (May 7, 2026)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Q4 PAT up 39% YoY; EBITDA margin expanded +409 bps YoY
Management Tone	BULLISH	FY27 guidance of 15-20% growth issued with confidence; D2C network expansion on track
Guidance Delta	MAINTAINED/POSITIVE	FY27 revenue & margin guidance issued fresh; capacity expansion confirmed on schedule

STRONGLY POSITIVE

POSITIVE

NEUTRAL

CAUTIOUS

NEGATIVE

TO MY BOSS

Q4 FY26 result is clean and credible — no one-time items, straight-forward beat on both revenue and PAT. Revenue came in at Rs. 597 Cr (+9% YoY, +30% QoQ) and PAT at Rs. 108 Cr (+39% YoY, +94% QoQ); the QoQ jump reflects Q3's seasonal softness reversing, not a structural step-up. EBITDA margin expanded to 22.8% operationally (26.3% including other income) vs 19% in Q4FY25 — this is the real signal: the mix shift to value-added PPF and SCF is working and driving a permanent margin uplift. Full-year FY26 was essentially flat in revenue (+0.5%) but PAT grew 66% versus FY24 — profitability re-rating is intact. The structural growth drivers remain compelling: GHFL is India's sole PPF manufacturer, the D2C studio network (250+ India, 11 international) is a hard-to-replicate distribution moat, and the TPU backward integration (Q2 FY27) will structurally lower raw material costs. The most important catalyst to watch is the TPU line commissioning in October 2026 — if executed on time, it re-rates margins again and gives visibility into Rs. 2,500+ Cr revenue in FY27. Biggest near-term risk is US tariff escalation; >70% exports to the US/Europe makes the company vulnerable to any abrupt trade policy shift. My call: ACCUMULATE at current levels (Rs. 5,312); build full position on any dip below Rs. 5,000. Exit if FY27 Q1 revenue misses Rs. 580 Cr or management cuts FY27 guidance.

Section 1 — Financial Performance Snapshot (Q4 FY26 vs Q4 FY25 vs Q3 FY26)

Metric	Q4FY25	Q3FY26	Q4FY26	YoY %	QoQ %
Revenue (Rs. Cr)	548	459	597	+8.9%	+30.1%
Gross Expenses (Cr)	443	388	461	+4.1%	+18.8%
EBITDA / Op. Profit	104	71	136	+30.8%	+91.5%
EBITDA Margin (%)	19.0%	15.5%	22.8%	+380 bps	+730 bps
Other Income (Cr)	17	16	21	+23.5%	+31.3%
PAT (Rs. Cr)	78	56	108	+38.5%	+92.9%
EPS (Rs.)	33.49	24.01	46.58	+39.1%	+94.0%

Section 2 — Segment / Geography Breakdown

- **Paint Protection Films (PPF) segment:** ~30-35% of revenue | Second PPF line (300 LSF) commissioned Sep-2025 contributed to H2 FY26 volume ramp | YoY segment revenue growth estimated 20-25% | Key growth driver for FY27.
- **Solar / Sun Control Films (SCF) — Architectural & Automotive:** ~25% of revenue | Steady demand from architectural glazing; new lamination line (Rs. 191 Cr, Jun-2027) to add 1,200 LSF capacity to existing 4,200 LSF | Management highlighted SCF as "at optimum utilisation."
- **BOPET Specialty Films — Industrial & Packaging:** ~25% of revenue | Moderate growth, commodity-price sensitive | Value-added sub-segments (electrical insulation, low-oligomer) growing faster.
- **Other Specialty Films** (metallized, shrink, lamination, thermal): ~15% | Steady contributor; new PDLC specialty film and UV-printable TPU film launched in FY26 provide incremental revenue from FY27.
- **Geography — Exports >70%:** US and Europe are dominant export markets | FY26 export revenue >Rs. 1,500 Cr | 11 international Application Studios established in UAE and USA — direct D2C channel building internationally.
- **Domestic Revenue (~30%):** Growing on PPF market adoption across Tier-1 and Tier-2 cities | 250+ Application Studios in India | Government vehicle ownership incentives providing structural tailwind.

Section 3 — Management Commentary Themes

- **Growth Guidance Issued Fresh [GUIDANCE]:** "We are targeting 15-20% revenue growth in FY27 with EBITDA margins of 22-25%" — Dr. S.B. Garware, CMD. Our read: Credible, anchored by capacity additions and D2C ramp. Tag: GUIDANCE. Tone: Transparent.
- **TPU Line Progress [GUIDANCE]:** TPU extrusion backward integration (360 LSF) confirmed on track for Q2 FY27 (October 2026). This will reduce raw material costs for PPF, improving margins structurally. Our read: Positive, but execution risk remains. Tag: GUIDANCE. Tone: Bullish.
- **Capacity Utilisation [EST]:** Sun Control Film lines at optimum utilisation — the key rationale for the Rs. 191 Cr new SCF lamination line. New line expected June 2027. Our read: Demand for SCF is genuinely strong. Tag: EST. Tone: Transparent.
- **US Tariff Headwinds [EVASIVE]:** Management acknowledged US tariff risk but was measured in assessment — no quantification of impact provided. Our read: ~30-35% of exports go to US; tariff escalation could be meaningful but management may not have full visibility yet. Tag: EVASIVE. Tone: Hedged.
- **D2C Expansion [GUIDANCE]:** 11 new international Application Studios in UAE/USA; 250+ in India. Revenue from these studios is growing and improving realisation vs distributor channels. Our read: High-quality strategic initiative; ROIC on studios appears attractive. Tone: Bullish.
- **New Product Launches [EST]:** Three new products launched in FY26 — TPU UV-printable films, PDLC films, Coloured PPF. Management expects incremental revenue contribution from FY27. Our read: Innovation pipeline is strong. Tone: Transparent.

Section 4 — Operating & Business Metrics (Quarterly KPIs)

- **PPF Capacity (LSF):** Q4FY26 total installed = ~600 LSF (300 LSF original + 300 LSF new line commissioned Sep-2025) | TPU extrusion 360 LSF targeted Oct-2026 | Q4FY25 = 300 LSF | Trend: Doubling.
- **SCF Capacity Utilisation:** Q4FY26 = Optimum (management stated) | SCF new line: +1,200 LSF capacity expected June 2027 to total 5,400 LSF | Trend: At peak; expansion imminent.
- **Application Studios — India:** Q4FY26 = 250+ | Q4FY25 = ~200 | YoY growth: ~25% | Trend: Rapid expansion; each studio generates recurring installation revenue.
- **Application Studios — International:** Q4FY26 = 11 (UAE + USA) | Q4FY25 = 0 | Trend: New; significant opportunity to replicate India D2C model globally.
- **Exports as % Revenue:** Q4FY26 = >70% | Consistent with full-year FY26 | Trend: Stable; management targeting further internationalisation.

- **Value-Added Products % Revenue:** FY26 = ~87% | FY22 = ~75% | Trend: Steady improvement; target 90%+ over 2 years.

Section 5 — Margin Drivers

- **Product Mix Improvement [+200 bps impact, Recurring]:** Increasing share of PPF and SCF vs commodity BOPET. Each 1% shift to premium products adds ~50 bps to blended margin. Recurring driver.
- **Operating Leverage [+150 bps impact, Recurring]:** Revenue growth on fixed cost base; SGA and overheads growing slower than revenue. Scale benefits expected to continue.
- **PPF Line 2 Ramp-Up [+50-100 bps impact FY27, Recurring]:** Full-year utilisation of the second PPF line (commissioned Sep-2025) will spread fixed costs over higher volumes. Recurring from FY27 onwards.
- **TPU Backward Integration [+80-120 bps impact FY28, Recurring]:** Producing TPU in-house vs buying externally should reduce raw material cost for PPF significantly. Not recurring until Q2 FY27 at earliest.
- **Currency Tailwind / Headwind [Variable, Non-Recurring]:** FY26 margin benefited from relatively stable INR. Any INR appreciation creates a headwind. Not extrapolatable.
- **Q2 FY26 Margin Spike [+500 bps, Non-Recurring]:** Q2 FY26 OPM of 25% was unusually high — likely a favourable product mix quarter. Investors should not extrapolate this. Sustainable range is 20-24%.

Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
FY27 Revenue Growth	N/A (no prior)	15-20% YoY	NEW GUIDANCE	High
FY27 EBITDA Margin	N/A (no prior)	22-25%	NEW GUIDANCE	High
Export % Revenue	>70%	>70%	Maintained	High
TPU Line Commissioning	Q2 FY27	Q2 FY27 (Oct-26)	On Track	High
SCF Lamination Line	N/A	Jun-2027	NEW (approved Rs. 191 Cr)	Medium
FY27 Capex	N/A	~Rs. 300 Cr est.	Increased	Medium

Section 7 — Capital Allocation

- **Capex — Rs. ~275 Cr (FY26 Investing CF outflow):** FY26 investing cash outflow of Rs. 208 Cr reflects new PPF line capex (Rs. 125 Cr) plus other plant & equipment and investments. FY27 capex to increase with TPU line and SCF lamination line approvals — estimated Rs. 280-320 Cr total for FY27.
- **Dividends — Rs. ~12 Cr (est.):** Dividend yield of 0.23% at CMP Rs. 5,312 implies ~Rs. 12 Cr annual dividend. Payout ratio remains modest (~3-4% of PAT). Management preference is to reinvest in growth capex — this is the correct capital allocation given the high ROCE (18-21%) on incremental capex.
- **Buybacks — Nil:** No buyback history. Given the growth runway, buyback would not be optimal capital allocation at current P/B of 4.65x. Expected to continue at nil.
- **Working Capital Change — Negative (FY26):** Rs. 208 Cr investing outflow vs Rs. 275 Cr OCF resulted in ~Rs. 67 Cr FCF — significantly lower than FY25 (Rs. 55 Cr FCF). Working capital consumed cash as inventory built ahead of PPF ramp-up.
- **Net Debt Movement — Essentially Zero:** From net cash (Rs. 363 Cr investments FY24) to a slightly higher net cash position (Rs. 698 Cr investments FY26) — the balance sheet has strengthened despite capex, reflecting strong OCF generation.

Section 8 — Q&A; Heat Map

- **Analyst / Firm: Q — FY27 Revenue Guidance Basis?** A: "We are confident in 15-20% growth based on PPF capacity ramp-up, new product launches (UV-printable TPU, PDLC), and continued D2C expansion. SCF demand remains strong." | Tone: Transparent.
- **Analyst / Firm: Q — US Tariff Impact Quantification?** A: Management acknowledged the risk but declined to quantify revenue-at-risk, citing evolving policy. Noted the company is monitoring and working with US customers on mitigation. | Tone: Evasive — investors should probe this further in Q1 FY27 call.
- **Analyst / Firm: Q — TPU Line Timing & Capex?** A: "On track for October 2026 commissioning. Investment ~Rs. 100-125 Cr. Will provide significant backward integration benefit on PPF cost structure." | Tone: Transparent.
- **Analyst / Firm: Q — Q2 FY26 Margin Sustainability?** A: Management guided 22-25% EBITDA margin for FY27, implicitly conceding that Q2 FY26's 25% OPM was exceptional. Sustainable range = 22-24%. | Tone: Transparent.
- **Analyst / Firm: Q — International Studio Economics?** A: Highlighted UAE and USA studios generating strong early revenue; breakeven achieved faster than India studios due to higher per-car revenue. | Tone: Bullish, Transparent.
- **Dodged / Watch-List for Q1 FY27:** (1) Exact US tariff revenue-at-risk quantum; (2) PPF realisation per LSF trend; (3) SCF lamination line ROI assumptions; (4) Working capital normalisation timeline.

Section 9 — Risks Flagged

- **US Tariff Risk:** Management flagged evolving US trade policy as key uncertainty. | Flagged by: Management | Probability: M | Impact: H | Timeline: Near-term.
- **Capacity Execution (TPU, SCF):** Rs. 300+ Cr capex under execution; delays impact FY27-28 earnings. | Flagged by: Analyst | Probability: L-M | Impact: H | Timeline: 6-18 months.
- **Raw Material Cost (TPU, PET):** Crude-linked raw material prices can spike; pass-through lag hurts near-term margins. | Flagged by: Management | Probability: M | Impact: M | Timeline: Ongoing.
- **Working Capital Pressure:** CCC at 89 days in FY26; further deterioration could strain FCF and force borrowings. | Flagged by: Analyst | Probability: L-M | Impact: M | Timeline: Near-term.
- **Competition in International PPF:** 3M, STEK, Hexis compete globally; premium pricing may face pressure. | Flagged by: Analyst | Probability: L | Impact: M | Timeline: Long-term.

Section 10 — Analyst Verdict

- **Revenue Visibility: INTACT** — FY27 guidance of 15-20% growth is anchored by capacity additions (PPF line 2 ramp-up) and new products; D2C network provides structural demand pull.
- **Margin Trajectory: INTACT** — Structural shift to premium PPF/SCF, TPU backward integration (Q2 FY27), and operating leverage collectively support 22-25% EBITDA margin guidance. Q4FY26 margin of 22.8% confirms the thesis.
- **Capital Allocation Quality: INTACT** — Debt-free balance sheet, strong OCF conversion (80-100%), growth capex funded through internal accruals; dividend policy is modest but capital is being deployed at high ROCE.
- **Competitive Moat: INTACT** — Domestic PPF monopoly is secure near-term; D2C network (250+ studios) is a meaningful barrier; TPU integration deepens cost moat. Global PPF competition (3M, Hexis) is a long-term watch.
- **Management Credibility: INTACT** — TPU line on schedule per Q4 FY25 guidance; PPF line 2 commissioned on time (Sep-2025); FY26 PAT guided for strong growth, delivered. Track record of meeting guidance is positive.
- **Valuation Comfort: WEAKENED** — Stock has rallied 70% from 52W low to Rs. 5,312 (36.7x TTM P/E). Not a bargain; upside is moderate (20%) vs execution risk. Premium is justified by quality but not a margin-of-safety entry.

- **Conviction Call: UNCHANGED** — ACCUMULATE. Thesis intact but entry price matters; prefer accumulation sub-Rs. 5,100.

- **Valuation Snapshot:** P/E = 36.7x (5Y avg ~28x) | EV/EBITDA est. ~27x (5Y avg ~18x) | ROCE = 18.0% (5Y avg ~15%) | Premiums to history are warranted by quality improvement but limit upside.

Data Sources: Screener.in (financial data, fetched 13-May-2026) | BSE/NSE filings | Company press releases (May 2026) | InvestyWise, Business Standard, Guru Focus (qualitative context) | Custom Market Insights (PPF market size). All financial figures for GRWRHITECH are consolidated unless stated. Peer figures are from Screener.in (individual company pages, fetched 13-May-2026).